Securitize Case Introduction

Real-World Asset (RWA) Tokenization:

Market Overview, Infrastructure Stack, and Strategic Implications (2025–2026)

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I - RWA MARKET OVERVIEW

1. Definition

Real-World Asset (RWA) tokenization refers to the on-chain representation of traditional financial assets such as sovereign debt, private credit, funds, equities, and commodities. Through blockchain-based infrastructure, legal claims on off-chain assets are digitized into programmable tokens, enabling automated lifecycle management (interest payments, corporate actions, transfer restrictions) and near real-time settlement.

Unlike purely crypto-native assets, RWAs are anchored in legally enforceable off-chain structures (SPVs, fund vehicles, custodial arrangements), which must align with regulatory frameworks governing securities and financial markets.

2. Structural Drivers of Acceleration

The acceleration of tokenized Real-World Assets in 2025–2026 is no longer a crypto-native expansion cycle; it reflects a structural reallocation of financial collateral toward programmable settlement infrastructure. What is occurring is not simply digitization, but a repricing of where assets reside, how quickly they can be mobilized, and under which legal perimeter they circulate.

Macroeconomic Environment

The macro environment has been a decisive catalyst. With policy rates remaining in the 3.5%–4.5% range entering 2026, the opportunity cost of capital has materially increased. In the zero-rate era, speculative DeFi primitives absorbed liquidity; in a higher-for-longer regime, capital demands legally enforceable yield. This shift explains the structural growth in tokenized U.S. Treasuries and other yield-bearing instruments that now function as the balance sheet backbone of the on-chain economy. Tokenization reduces settlement latency from traditional T+2 cycles to near-instant Delivery-versus-Payment, allowing institutions to redeploy collateral intraday. In an environment where funding costs matter, collateral velocity is not a feature — it is a competitive advantage.

Institutional Validation

Institutional validation has also moved from experimentation to scaled production. The deployment of multi-billion-dollar regulated vehicles on public blockchains has demonstrated that tokenization can operate within existing legal frameworks rather than outside them. These structures leverage compliant intermediaries, regulated transfer agents, and supervised trading venues to enable distribution without bypassing regulatory guardrails. The significance is strategic: tokenization becomes a distribution upgrade and a settlement layer enhancement, not a speculative overlay.

Infrastructure Maturity

Simultaneously, the infrastructure stack has professionalized. Institutional-grade custody solutions, including MPC architectures and insured custodial frameworks, have separated asset exposure from key-management risk. Compliance logic is increasingly embedded directly at the smart-contract level, where transfer restrictions and eligibility checks automate functions historically handled by transfer agents. This "in-asset compliance" materially reduces operational friction for investment committees that require enforceable governance and control under stress scenarios.

Regulatory Progress

Finally, regulatory convergence has reduced the structural uncertainty that previously limited institutional participation. In Europe, the entry into force of MiCA and the operationalization of the DLT Pilot Regime provide defined perimeters for issuance, custody, and supervised secondary trading. In the United States, progress in stablecoin legislation and continued SEC engagement around transfer agent and ATS licensing frameworks are clarifying the treatment of the "cash leg" and the "security leg" of tokenized transactions. The combined effect is critical: compliant Delivery-versus-Payment is becoming operationally viable at scale.

Taken together, these dynamics explain the capital concentration observed across RWA.xyz and institutional market reports. Value is not accruing to tokenization as a technological abstraction, but to infrastructures capable of integrating yield generation, custody, compliance, and distribution into repeatable institutional workflows. The long-term winners are therefore unlikely to be purely technical rails. They will be platforms that control regulatory interfaces, manage asset lifecycle governance, and maintain enforceability during market stress — effectively redefining market structure rather than merely accelerating settlement.

3. Market Size and Growth

As of February 2026, data compiled by **RWA.xyz** indicates that total tokenized real-world assets (excluding stablecoins) exceed **$30 billion**. This figure reflects a structural expansion from a sub-$5 billion market in 2022, implying multi-year compound annual growth comfortably above 100% since 2023.

What is particularly notable is not only the magnitude of growth, but its concentration pattern and asset composition.

Asset Class Concentration

The current market structure is heavily concentrated in two segments:

1. U.S. Treasury Debt and Cash Equivalents

Tokenized short-duration U.S. government securities represent the largest single category of RWAs on-chain. The growth of this segment accelerated sharply following the repricing of global interest rates in 2023–2024. As policy rates moved above 3%, on-chain capital began reallocating from purely speculative crypto-native protocols toward instruments offering sovereign-backed yield.

Treasuries have effectively become the "risk-free collateral layer" of the on-chain financial system. Their characteristics (low credit risk, high liquidity, predictable yield) make them compatible with both institutional mandates and DeFi composability. The dominance of this segment indicates that tokenization is being adopted first where legal clarity, transparency, and collateral utility are strongest.

Strategic implication: This is not a search-for-yield bubble; it is a collateral migration.

2. Private Credit

Private credit represents the second largest category and has exhibited the fastest growth rate among RWAs. Unlike Treasuries, this segment captures the structural appeal of tokenization: fractionalization, cross-border investor access, and improved transparency in traditionally opaque lending markets.

The expansion of tokenized private credit demonstrates that tokenization is not confined to passive fixed-income replication. Instead, it is penetrating segments where:

- Illiquidity premiums exist
- Traditional distribution channels are fragmented
- Investor access is historically constrained

Private credit tokenization reduces administrative friction and potentially broadens the accredited investor base globally, though it remains dependent on underwriting quality and enforceability of off-chain legal structures.

Strategic implication: This segment introduces higher yield, but also higher structural risk. It is therefore proving ground for governance robustness.

Secondary Segments

Beyond the two dominant pillars, the remainder of the market consists of:

- Commodities (notably tokenized gold)
- Corporate bonds
- Tokenized public equities
- Fund shares

These segments remain materially smaller in aggregate value but are strategically important. They signal experimentation in broader capital market instruments and indicate that tokenization is expanding laterally across asset classes.

Tokenized equities reflect a retail-facing distribution dynamic, while commodities provide a bridge between digital and tangible collateral markets. However, these segments are not yet systemically relevant in scale compared to Treasuries and private credit.

Structural Observations

Three structural characteristics emerge from the data:

1. Collateral-First Adoption
The largest growth has occurred in assets that are already widely accepted as institutional-grade collateral. Tokenization adoption has therefore followed credit quality and regulatory clarity.

2. Institutional Over Retail Orientation
The concentration in Treasury and private credit products indicates that the growth of RWAs is being driven more by institutional capital and treasury allocation than by speculative retail flows.

3. Infrastructure Bottleneck
Given that issuance is concentrated among a limited number of platforms (as seen in RWA.xyz issuer distribution charts), the market is not fragmented. Control over regulatory interfaces and distribution remains centralized among a small group of tokenization providers.

Strategic Framing

The $30B+ figure is less important than the directionality and composition of growth. The data suggests that tokenization is not diffusing randomly across assets, but rather consolidating around instruments that satisfy three criteria:

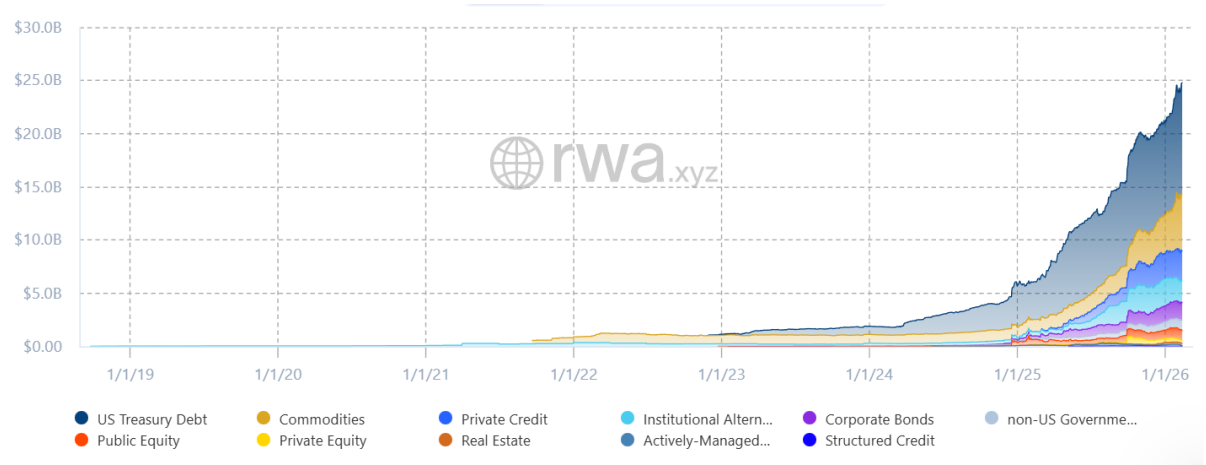
- Legally enforceable ownership

- Yield-bearing characteristics
- Compatibility with institutional balance sheets

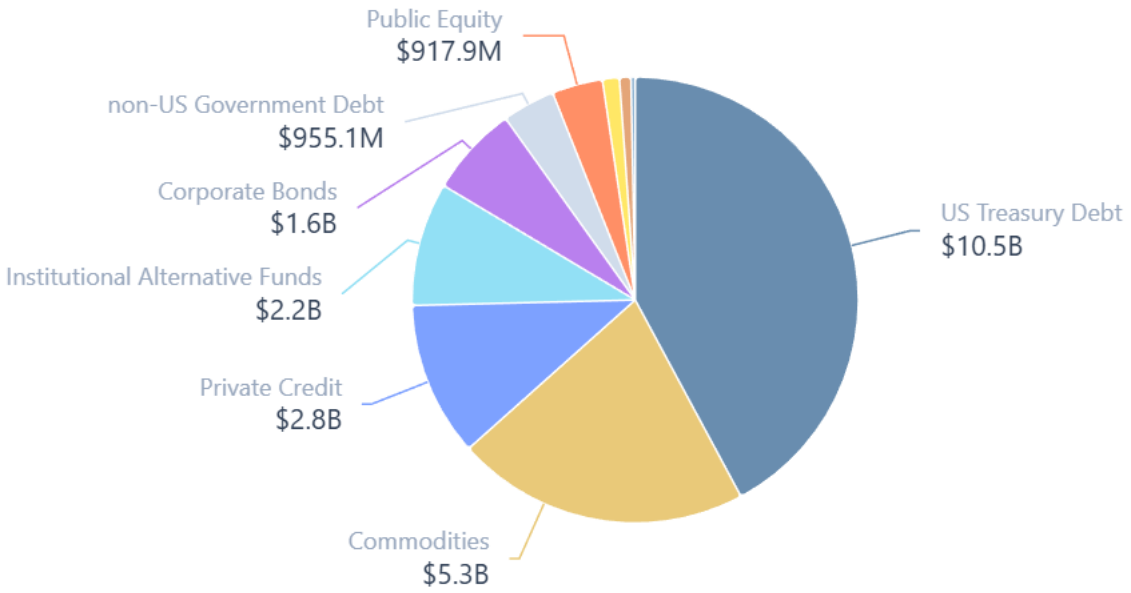
In other words, RWAs are scaling where financial market infrastructure modernization intersects with capital efficiency.

This context provides the analytical basis for evaluating tokenization platforms not as crypto startups, but as infrastructure gatekeepers within a growing regulated asset class.

RWA Total Market Growth (2019–2026)



GRAPH 2 — RWA Breakdown by Asset Class



STRATEGIC IMPLICATION: THE COLLATERAL MIGRATION

The expansion of the RWA market is not a speculative "crypto-native" cycle, but a **structural migration of financial collateral** toward programmable settlement infrastructure. With a massive concentration in U.S. Treasuries ($10.5B) and private credit, tokenization is establishing itself as the new standard for assets requiring high-quality collateral and regulatory clarity. For an acquirer, value no longer resides in the technology alone, but in the capacity to act as the **gatekeeper of an explosive, regulated asset class**.

4. Structural Insight

RWA tokenization should not be understood as a simple digitization of financial records. The shift is architectural. It introduces a shared ledger model in which ownership, transfer, and settlement states are updated natively within the same system, in near real time.

This contrasts with legacy market structure, where ownership and settlement are coordinated across fragmented ledgers through message-based reconciliation between multiple intermediaries.

From an infrastructure standpoint, three structural implications emerge:

1. Settlement Architecture Redesign
Tokenized workflows enable near-instant delivery-versus-payment (DvP) by synchronizing the asset and the cash leg within the same programmable environment. The result is not just faster settlement, but a structural reduction in reconciliation overhead. In traditional markets, reconciliation exists because information is siloed. In a shared ledger model, ownership states are unified by design.

2. Temporal Expansion of Market Operations
Tokenized assets can circulate independently of legacy batch windows and jurisdiction-specific cut-offs. While this does not automatically create liquidity, it fundamentally alters the operating model by enabling 24/7 transfers, collateral movements, and servicing events when supported by compliant trading venues.

3. Embedded Compliance and Servicing
Perhaps most strategically significant, compliance logic can be embedded directly into the asset layer. Transfer restrictions, investor eligibility rules, and servicing workflows can be codified within the token standard itself. Legal requirements do not disappear — they become programmable. Compliance shifts from operational coordination to automated enforcement.

Taken together, tokenization should be viewed as a modernization of settlement and distribution infrastructure rather than a transformation of asset format. The technological layer is important, but the economic implications lie in how market structure evolves.

As with prior infrastructure transitions in financial markets, value will not distribute evenly. It is likely to concentrate at control points governing:

- Primary issuance
- Regulatory interface
- Investor access and distribution
- Secondary liquidity

The strategic question therefore becomes clear:

Where does durable control sit as this new infrastructure scales?

Answering that question requires mapping the RWA value chain and identifying the layers where competitive advantage, and long-term economic capture, are structurally defensible.

II - THE RWA VALUE CHAIN / INFRASTRUCTURE STACK

The RWA ecosystem is not a monolithic market. It is evolving into a vertically layered infrastructure stack in which different actors perform distinct but interdependent functions. While each layer is necessary for the system to operate, economic value does not distribute evenly across them.

As in previous financial infrastructure shifts, commoditization tends to occur at the base, while strategic control migrates toward regulatory gateways and distribution nodes.

Understanding this hierarchy is critical from a Corporate Development perspective.

1. Blockchain Rails: The Base Layer

Blockchain networks provide the transactional substrate on which tokenized assets are recorded and transferred. Their function is infrastructural: timestamping, settlement, and state verification.

As RWA.xyz data indicates, distributed assets are increasingly concentrated on a limited number of major chains (Ethereum and dominant Layer 2s). This standardization reduces fragmentation and strengthens interoperability.

However, base-layer infrastructure exhibits characteristics of commoditization:

- Open-source competition

- Interoperability improvements
- Limited pricing power (transaction fees)

While necessary, blockchain rails capture limited durable economic value relative to upper layers.

2. Custody & Compliance: The Trust Layer

Custodians and compliance providers ensure secure key management, AML/KYC enforcement, reporting, and regulatory alignment.

For institutions, this layer is non-negotiable. It provides:

- Operational risk mitigation
- Insurance coverage
- Legal enforceability
- Governance assurance

Revenue is typically driven by Assets under Custody (AUC) fees and service-based compliance charges.

While defensible due to regulatory requirements and trust, this layer remains service-oriented and increasingly competitive.

3. Issuers & Structurers: The Asset Gatekeepers

Issuers and structures originate assets, establish SPVs, manage underwriting, and define economic rights.

Their value capture is asset dependent. Strong underwriting and brand reputation can create defensible positioning, particularly in private credit and structured products.

However, issuers do not automatically control distribution. Without integrated secondary access, they remain partially dependent on platform infrastructure.

4. Tokenization Platforms: The Regulatory Interface

Tokenization platforms coordinate issuance, lifecycle management, smart contract deployment, and compliance integration.

This layer frequently combines:

- Transfer agent functions

- Broker-dealer capabilities
- Alternative Trading System (ATS) access
- Administrative tooling

Revenue models typically include issuance fees, SaaS licensing, and administrative charges.

The strategic importance of this layer lies in regulatory integration. Platforms that embed compliance, transfer restrictions, and reporting directly into the issuance workflow create switching costs and operational dependency.

This is where structural moat potential begins to emerge.

5. Distribution — The Liquidity Control Point

Distribution encompasses secondary trading venues, portals, and integration with on-chain money markets.

This layer determines:

- Investor access
- Liquidity depth
- Market visibility
- Capital velocity

Revenue is driven by trading spreads, AUM-linked fees, and commissions.

Distribution benefits from network effects. Once liquidity concentrates, barriers to entry rise significantly.

Historically, in financial markets, distribution nodes often capture outsized value relative to technical infrastructure.

So, the Infrastructure stack can be summarized as followed:

Layer	Core Function	Revenue Model	Strategic Position
Distribution	Secondary trading, ATS platforms, DeFi integration, portals	AUM fees, spreads, commissions	High network effects
Tokenization Platforms	Issuance, lifecycle management, cap table sync	Issuance fees, SaaS, admin fees	Regulatory moat

Layer	Core Function	Revenue Model	Strategic Position
Issuers / Structurers	Asset sourcing, underwriting, SPV structuring	Management & performance fees	Asset-dependent
Custody & Compliance	Key management, AML/KYC, reporting	AUC fees	Institutional trust
Blockchain Rails	Transaction settlement & recordkeeping	Gas fees	Commoditizing

STRATEGIC IMPLICATION: MOATS THROUGH LICENSING

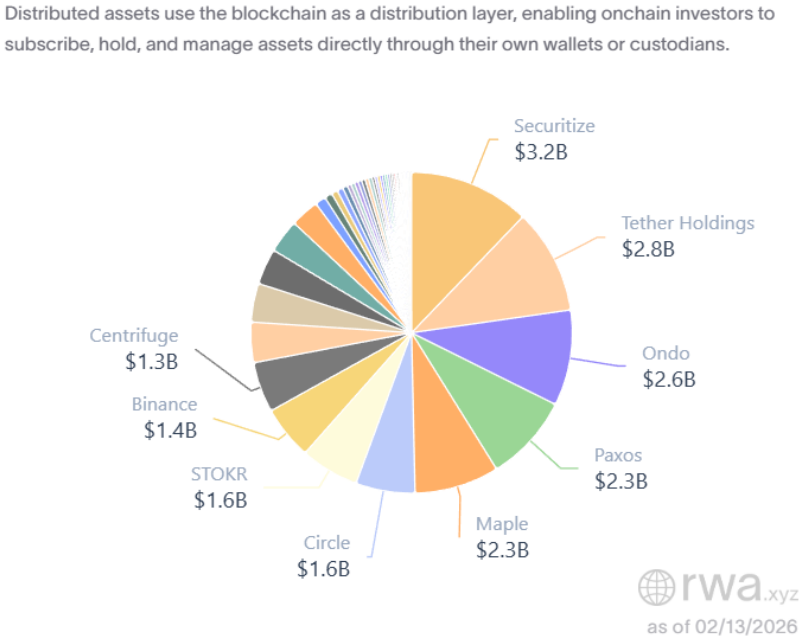
As blockchain technology layers commoditize and become increasingly standardized, economic power and strategic differentiation are shifting to the top of the stack: the regulatory interface and distribution nodes. Securitize's market leadership ($3.2B in distributed AUM) demonstrates that a defensible moat is no longer predicated on technical code, but on the **vertical integration of critical licenses** ; specifically Transfer Agent, Broker-Dealer, and ATS capabilities.

The most defensible strategic positions in the RWA ecosystem now concentrate in:

- **Regulatory Interface Control:** Seamless integration of Transfer Agent, Broker-Dealer, and ATS frameworks.
- **Primary Issuance & Compliance:** Proprietary issuance tooling with embedded, automated compliance infrastructure.
- **Scalable Distribution:** Direct access to secondary liquidity and global distribution networks.

From an M&A perspective, platforms that synthesize these licensing and issuance tools create structural advantages that purely technical providers cannot replicate. These control layers represent the primary points of long-term economic capture, making vertically integrated platforms the most attractive targets for institutional acquisition.

GRAPH 3 — Market Share by Tokenization Platform



As of February 2026, Securitize ranks first among tokenization platforms by distributed asset volume, with approximately $3.2B on-chain according to RWA.xyz. The distribution of market share across platforms indicates an early concentration of institutional flows among a limited number of providers, including Tether, Ondo Finance, Paxos, and Maple.

Notably, platforms combining regulatory licensing with tokenization infrastructure appear to capture a disproportionate share of capital compared to purely technical or decentralized providers. This pattern suggests that competitive advantage in the RWA ecosystem is increasingly determined by the ability to operate at the intersection of compliance, issuance, and distribution rather than by base-layer technology alone.

This dynamic reinforces the strategic relevance of firms such as Securitize within the evolving infrastructure stack and provides a rationale for examining their positioning from a Corporate Development perspective

III - STRATEGIC IMPORTANCE FOR FINANCIAL INSTITUTIONS

For traditional financial institutions, RWA tokenization should be understood as an infrastructure modernization strategy rather than a decentralization ideology. The transformation concerns operating models, capital efficiency, and distribution architecture more than it concerns asset novelty.

The implications unfold across four structural dimensions.

1. Operational Efficiency and Infrastructure Rationalization

Legacy financial markets rely on fragmented ledgers coordinated through message-based reconciliation. Ownership, settlement, custody, and compliance functions often sit on distinct systems operated by different intermediaries. The result is operational duplication, delayed finality, and significant post-trade overhead.

Shared ledger infrastructures introduce a unified state machine in which ownership records are updated natively within the same system. This reduces the need for bilateral reconciliation and conditional message confirmations.

Consulting research (BCG, McKinsey) has consistently highlighted that post-trade processing remains one of the largest cost centers in capital markets infrastructure. Estimates suggest that distributed ledger–based workflows could reduce certain post-trade and servicing costs by 20–50%, particularly in cross-border settlement and asset servicing.

Operational improvements include:

- Automated corporate actions (dividends, coupon payments, redemptions)
- Embedded transfer restrictions and programmable compliance
- Reduced settlement latency (T+0 vs T+2)
- Transparent, auditable transaction histories

The value here is not speed alone, it is reduced structural friction.

2. Balance Sheet Optimization and Capital Efficiency

Beyond operational savings, tokenization impacts balance sheet mechanics.

Under traditional T+2 settlement regimes, institutions must maintain liquidity buffers to manage timing mismatches between asset transfer and cash settlement. These buffers represent trapped capital.

Tokenized settlement workflows enable:

- 24/7 collateral mobility
- Near-instant margin adjustments
- Real-time collateral substitution
- Fractionalization of exposures to traditionally illiquid assets

By shortening the settlement cycle and increasing collateral velocity, institutions can reduce idle liquidity and improve capital turnover. Even marginal improvements in capital efficiency can have meaningful ROE implications on a scale.

For institutions operating under Basel III liquidity requirements, this may gradually shift optimal liquidity management strategies.

3. Distribution Expansion and Market Access

The digital asset ecosystem now represents a structurally relevant liquidity pool.

As of early 2026:

- Stablecoin supply exceeds $150B
- DeFi money markets integrate tokenized collateral
- Secondary on-chain venues are expanding in both institutional and retail segments

Tokenization platforms create a bridge between traditional asset origination and native on-chain liquidity. Rather than relying solely on legacy distribution networks, institutions can access a digitally native investor base with 24/7 global reach. This does not replace traditional distribution; it adds a parallel channel.

In infrastructure transitions, distribution control frequently becomes more valuable than issuance alone. Institutions that integrate tokenized rails gain optionality over how and where capital is raised.

STRATEGIC IMPLICATION: Defensive modernization & control consolidation.

Tokenization is primarily a **market infrastructure modernization strategy** designed to optimize balance sheet efficiency and ROE through increased collateral velocity. For financial institutions, the strategic imperative is not merely the adoption of a new asset format, but the **preservation of strategic leverage** over distribution and capital flows in a shared-ledger environment.

As the RWA ecosystem scales, structural power and economic capture are consolidating around four critical control points:

- **Primary Issuance & Lifecycle Governance**
- **Regulatory Compliance & Programmable Transfer Control**
- **Secondary Liquidity Access & Venue Integration**
- **Institutional Custody & Identity Infrastructure**

Institutions that fail to integrate these workflows risk a gradual erosion of their distribution dominance. Digital-native platforms combining regulatory licensing with programmable infrastructure are increasingly positioned to intermediate value chain segments historically controlled by banks and asset managers. Consequently, active integration whether, through internal development, strategic partnerships, or **targeted acquisition,** is a defensive necessity to retain relevance within emerging global liquidity networks

4. Macro risks & market vulnerabilities

While the migration to programmable settlement infrastructure is structural, the RWA ecosystem faces inherent risks tied to its current stage of maturity. This section identifies macroeconomic and structural factors that could slow adoption or destabilize market stability.

1. Interest Rate Sensitivity (Macro-Sensitivity)

The current market acceleration is largely catalyzed by policy rates maintained between **3.5% and 4.5%** entering 2026.

- **The Risk:** A rapid and unanticipated drop in policy rates would decrease the opportunity cost of capital. This could reduce the attractiveness of tokenized U.S. Treasuries, which currently function as the balance sheet backbone of the on-chain economy.
- **Factual Mitigation:** Adoption is already diversifying toward illiquidity premiums, such as private credit, which are less sensitive to immediate sovereign rate fluctuations.

2. Off-Chain Linkage (Legal Enforceability)

Unlike purely crypto-native assets, RWAs rely on traditional legal structures such as Special Purpose Vehicles (SPVs) and fund vehicles.

- **The Risk:** Token value is entirely dependent on the legal validity of off-chain claims. In the event of issuer failure or market stress, the lack of clear legal precedents regarding the forced execution of these contracts via smart contracts remains an operational challenge.
- **Factual Mitigation:** The emergence of frameworks like **MiCA** in Europe and the operationalization of the **DLT Pilot Regime** provide defined perimeters for investor protection.

3. Credit and Origination Risk (Underwriting Quality)

The private credit segment, despite its rapid growth, introduces significantly higher complexity compared to Treasury instruments.

- **The Risk:** This market is intrinsically tied to underlying asset quality and the rigor of off-chain auditing. A series of defaults within tokenized credit portfolios could trigger a systemic crisis of confidence, proving that technology cannot replace credit quality.
- **Factual Mitigation:** Market concentration among a limited number of regulated platforms allows for tighter governance control and enhanced transparency.

4. Infrastructure Bottlenecks (Centralization Risk)

Data indicates that issuance and distribution are currently concentrated among a small group of providers.

- **The Risk:** This centralization creates potential single points of failure. Should a regulatory "gatekeeper" face legal or technical setbacks, a disproportionate share of on-chain asset circulation could be paralyzed.
- **Factual Mitigation:** The increasing standardization of "Blockchain Rails" (Ethereum and dominant Layer 2s) promotes long-term interoperability, potentially reducing dependence on any single technical infrastructure.

STRATEGIC IMPLICATION: RISK-ADJUSTED ADOPTION

Investors and acquirers must recognize that RWA success no longer depends on technical viability, but on the **resilience of the link between the token and its underlying asset**. Macro risk resides not within the blockchain itself, but in the infrastructure's ability to maintain legal enforceability during periods of financial stress.

Transitional Conclusion

RWA tokenization should therefore be understood not as a new asset format, but as a structural reconfiguration of financial market infrastructure. It simultaneously represents an infrastructure redesign of settlement architecture, a regulatory coordination challenge, and a broader evolution of market structure in which control shifts toward actors operating at the issuance and compliance layers. However, this structural shift is not without inherent vulnerabilities; the market remains sensitive to macroeconomic fluctuations, the legal enforceability of off-chain linkages, and the underlying quality of asset underwriting.

As base-layer blockchain technology becomes increasingly standardized, strategic advantage will concentrate in platforms that effectively mitigate these risks by integrating regulatory licensing, primary issuance capabilities, and distribution access.

This evolution introduces an additional strategic dimension. As tokenization infrastructures scale and become embedded within institutional workflows, consolidation dynamics are likely to emerge. Understanding how mergers or acquisitions could reshape control over these critical layers becomes a central question for financial institutions evaluating long-term positioning.

Within this framework, tokenization platforms positioned at the regulatory interface become structurally central, setting the stage for a focused Corporate Development analysis of Securitize.

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